It has often struck me that for a public policy institution with such a powerful mandate, these sporadic and voluntary mechanisms for accountability are inadequate. Voluntary initiatives for rendering accountability, no matter how effective and earnest, are no substitute for clearly prescribed formal mechanisms.

There have been some positive developments in this regard since I left the Reserve Bank in 2013. Importantly, the Monetary Policy Framework Agreement between the Government and the Reserve Bank, signed in February 2015, prescribes an inflation target, and in the event of failure to deliver on the target, enjoins the governor to send a report to the government explaining the reasons for the failure and the remedial steps being taken to return inflation to the targeted zone. This formal accountability mechanism for delivery on the inflation target is a substantive step forward. But is this enough? It falls short on at least two grounds. First, the accountability is restricted to the Reserve Bank's inflation mandate. What about all the other functions of the Reserve Bank, such as, for example, external sector management, bank regulation, and printing and distribution of currency? Second, a written communication from the governor to the finance minister is a one-way channel, whereas effective accountability should warrant two-way engagement.

I used the opportunity of the Palkhivala Memorial Lecture I delivered in August 2013 to voice my concerns about the absence of a formal accountability mechanism for the Reserve Bank. I argued that in India too, we must institute a practice like in the US where the chairman of the Federal Reserve testifies before a Congressional committee on a regular basis. On those lines, in India, the governor of the Reserve Bank should go before the Parliament's standing committee on finance twice a year to present a comprehensive report on the Bank's policies and their outcomes, and respond to questions by the committee. This can be in addition to the current practice of the standing committee sporadically summoning the governor on specific issues. Besides establishing a formal and comprehensive structure for accountability by the Reserve Bank, a statutorily enshrined procedure like this, I believe, will deliver another